

Finally, in both the previous period of higher and the more recent period of lower esteem for chemical stocks, still another factor had remained almost constant. The older and larger-volume chemical products, representing in a sense the “first step” processing of tailored materials from such basic sources of molecules as salt or hydrocarbons, were inevitably products sold mainly by specification and on a price-competitive basis. Nevertheless, for the alert company there always was and continued to be the opportunity to process these first-step products into much more complicated and higher-priced ones. These, at least for a while, could be sold on a much more proprietary and therefore less competitive basis. As these products in turn become price competitive, the alert companies have consistently found still newer ones to add to the higher-profit-margin end of their lines.

In other words, all the favorable factors, so much in the financial community's mind when chemical stocks were darlings of the market, continued to be there after they had lost considerable status. But the unfavorable factors so much in the forefront in the 1960s were also there in the earlier period when they were largely ignored. What had shifted was the emphasis, not the facts.

But the facts, too, can change. Starting about the middle of 1973, chemical stocks began regaining favor in the financial community. This was because a new view of the industry was starting to prevail. In the scarcity-plagued economy the major industrial nations have been experiencing for the first time (except during major wars) in modern times, manufacturing capacity can be increased only gradually; hence, it may be years before cutthroat price competition will occur again. This image opens up a whole new ballgame for the investor in chemical stocks. The problem for investors now becomes one of determining whether the background facts warrant the new image and, if they do, whether chemical stocks, in relation to the market as a whole, have risen more than or not as much as may be warranted by the new situation.

Recent financial history offers countless other examples of much larger changes in price-earnings ratios that occurred because the financial community's appraisal of the industry's background changed radically while the industry itself remained almost exactly the same. In 1969 the computer peripheral stocks were great market favorites. These were the companies making all the special equipment that could be added to the central